



ILLUSTRATION BY RAJ VERMA

India Stack's digital rails are now the foundation of tools being developed to improve credit flow to MSMEs

push MSMEs to constantly innovate just to stay afloat.

FINANCING OPTIONS

The government is taking significant steps to bridge the gap MSMEs face in terms of availability of finance. The foundation laid in the form of Public Digital Infrastructure—India Stack—is a robust digital infrastructure that has promoted innovation in financial services. The various digital rails of India Stack are now the foundation of creative tools being developed for improving credit flow to the MSME sector.

The Open Credit Enablement Network and Account Aggregator framework shall be other significant additions to the layers of India Stack. These additions will enable formal credit to flow at a relatively faster pace to the most vulnerable groups, particularly small businesses, with shorter repayment periods if desired. These platforms will also provide financial institutions with an opportunity to reach large groups at lower cost of services or distribution. With Open Network

for Digital Commerce facilitating all service providers at one place, the platform truly possesses the potential to revolutionise digital commerce, both domestic and international.

The support provided by the government to the Indian start-up ecosystem has positioned the country as the third largest start-up ecosystem in the world, behind the US and China. Initiatives such as Fund of Funds Scheme (FFS), Self-Reliant India Fund, Startup India Seed Fund Scheme, Credit Guarantee Scheme for Startups, etc., have led to the start-up ecosystem flourishing.

The Small Industries Development Bank of India (Sidbi) was established under the Sidbi Act, 1989 to promote, finance, and develop the MSME sector. It operates schemes categorised into indirect finance and direct finance. Indirect finance includes assistance through banks and financial institutions, creating a multiplier effect on credit flow, while direct finance involves assistance through Sidbi's network.

We are witnessing a point of inflection in lending towards the MSME sector. Technology has been the fulcrum in altering the perception towards financing MSMEs. However, the benefits are yet to be fully absorbed by the sector, particularly by the informal micro enterprises.

Improving access to finance for MSMEs will be key in enabling them to become the cornerstone of a \$5-trillion economy. The ongoing digital revolution, along with the commitments of the government to enhance ease of doing business, shall be fundamental in channelising large-scale investments for economic development, of which the MSME sector will be one of the key beneficiaries. Towards this end, Sidbi stands committed to innovating and undertaking interventions to reach the last mile and support the sector that forms the bedrock of the nation. **BT**

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Views are personal*